Audit Planning:

Understanding the entity and its environment, including internal controls



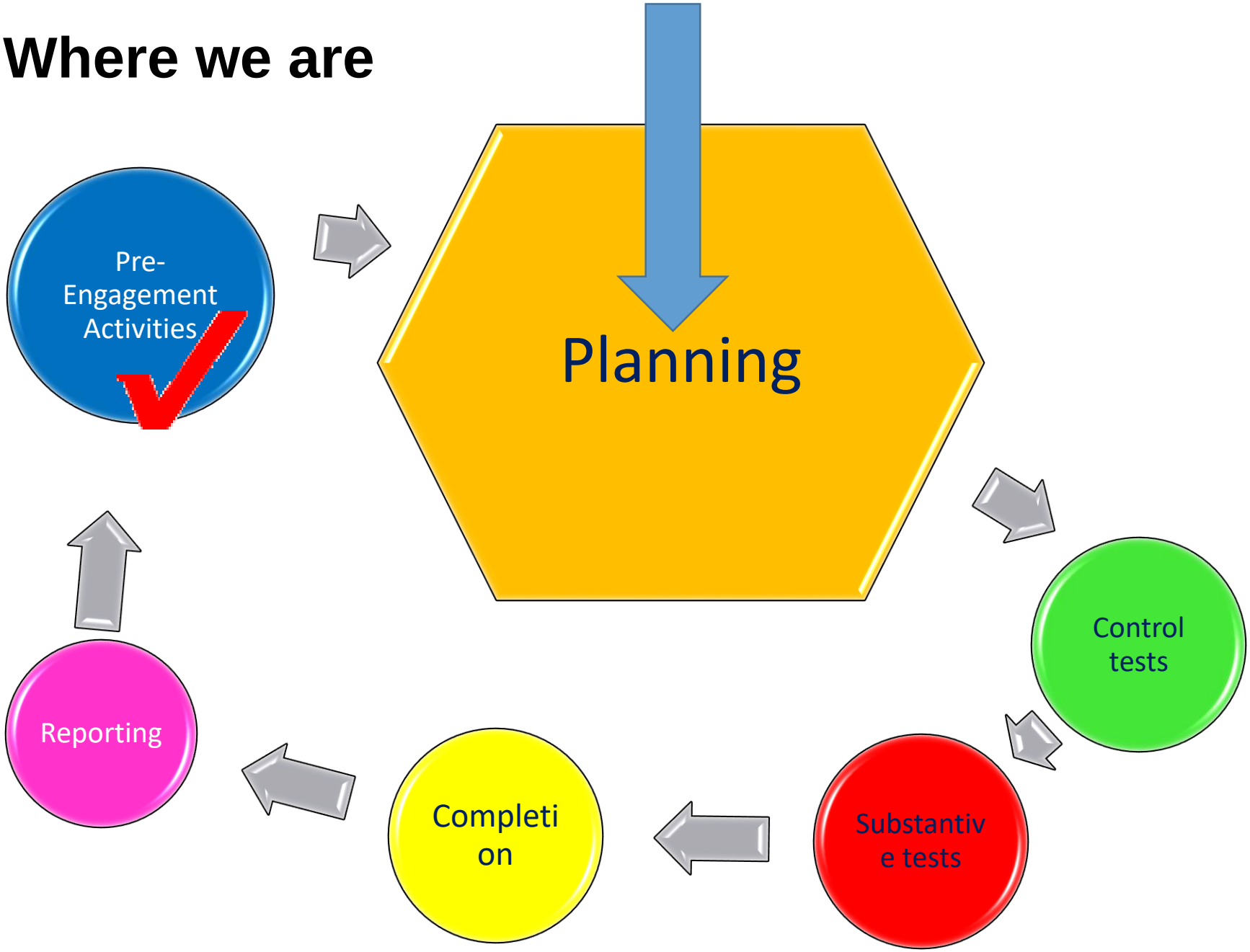
Study Outcomes

- Discuss the **purpose and result** of audit planning;
- Discuss the **advantages of audit planning**;
- Understand how the study sections following this study section fit into the planning activities
  - Understand why auditors have to gather information concerning the entity and its environment
  - Understand why knowledge of the internal control environment is important to the auditor
  - To be able to apply the principles in an integrated scenario

Relevant ISA's to the audit process

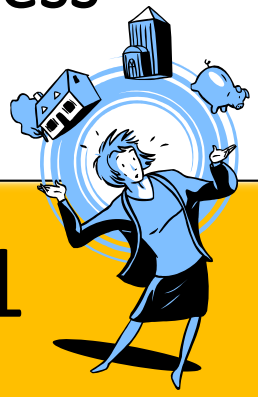
- ISA 200 – Overall objectives of the independent auditor and the conduct of an audit in accordance with ISA's
- ISA 300 – Planning an audit of financial statements
- ISA 315 – Identifying and assessing the risk of material misstatement through understanding the entity and its environment
- ISA 320 – Materiality in planning and performing an audit
- ISA 330 – The auditors responses to assessed risks
- ISA240 - Fraud
- ISA250 – Laws and Regulations
- ISA570 – Going Concern & Guide to Money Laundering

Where we are


Pre-
Engagement
Activities
Planning
Control
tests
Substantiv
e tests
Completi
on
Reporting

6 Parts to the planning process





1



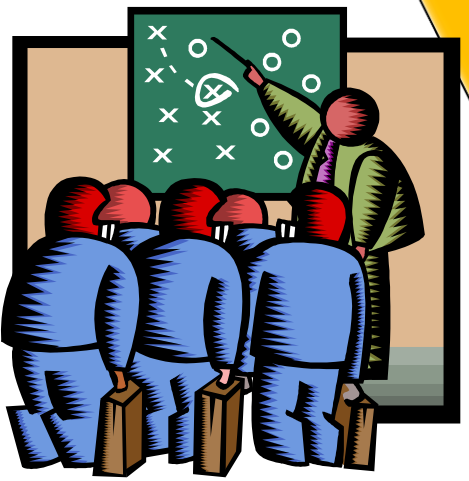
6

2

Planning

5

3





4





The planning Process

1

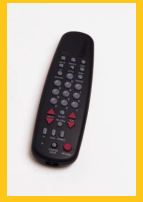
- **Understand the entity and its environment**
  - Relevant Industry, regulatory and EXTERNAL factors
  - NATURE of entity (INTERNAL)
  - Selection of accounting policy
  - OBJECTIVES and STRATEGIES & BURINESS RISKS
  - MEASUREMENT AND REVIEW OF ENTITY's FINANCIAL PERFORMANCE



WHY?
INHERENT RISK
(Audit Approach)

2

- Understand the entity's internal control environment
  - 5 ELEMENTS



WHY?
CONTROL RISK
(Audit Approach)

3

- **Identifying** and **assessing** the **Risk of Material Misstatement (Significant)**
  - On Assertions level
  - On Financial Statement level



RMM =
IR (SR) x CR

The Planning Process

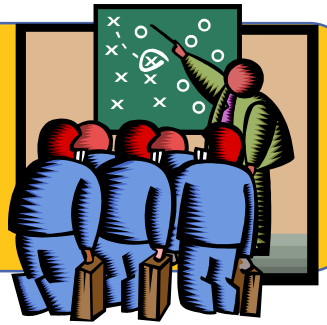


4

- Determine planning materiality
- Determine performance materiality
- Determine materiality for transactions, balances etc.

5

- Audit strategy
- Overall audit plan (Audit Approach)
- Detail Auditplan

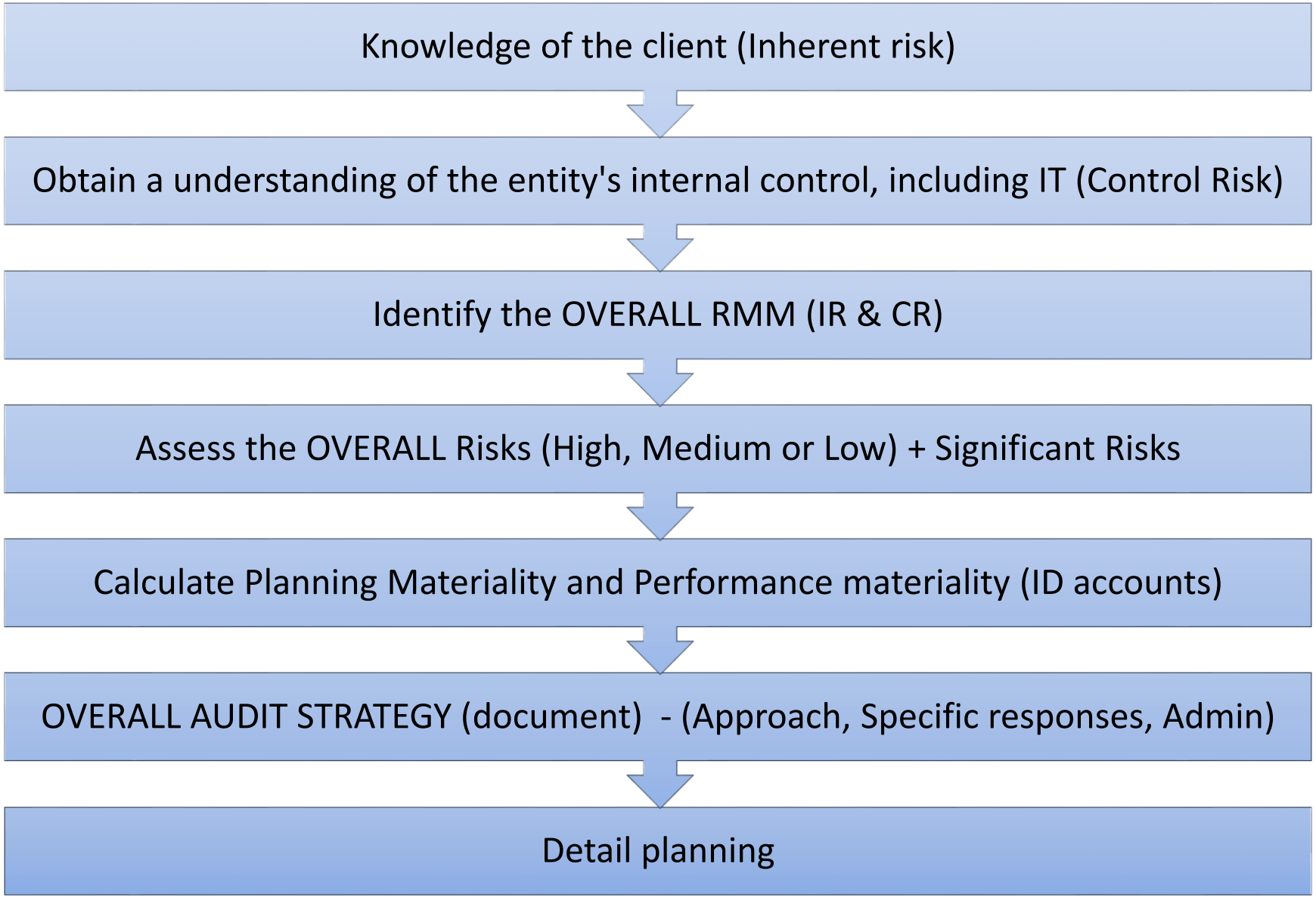


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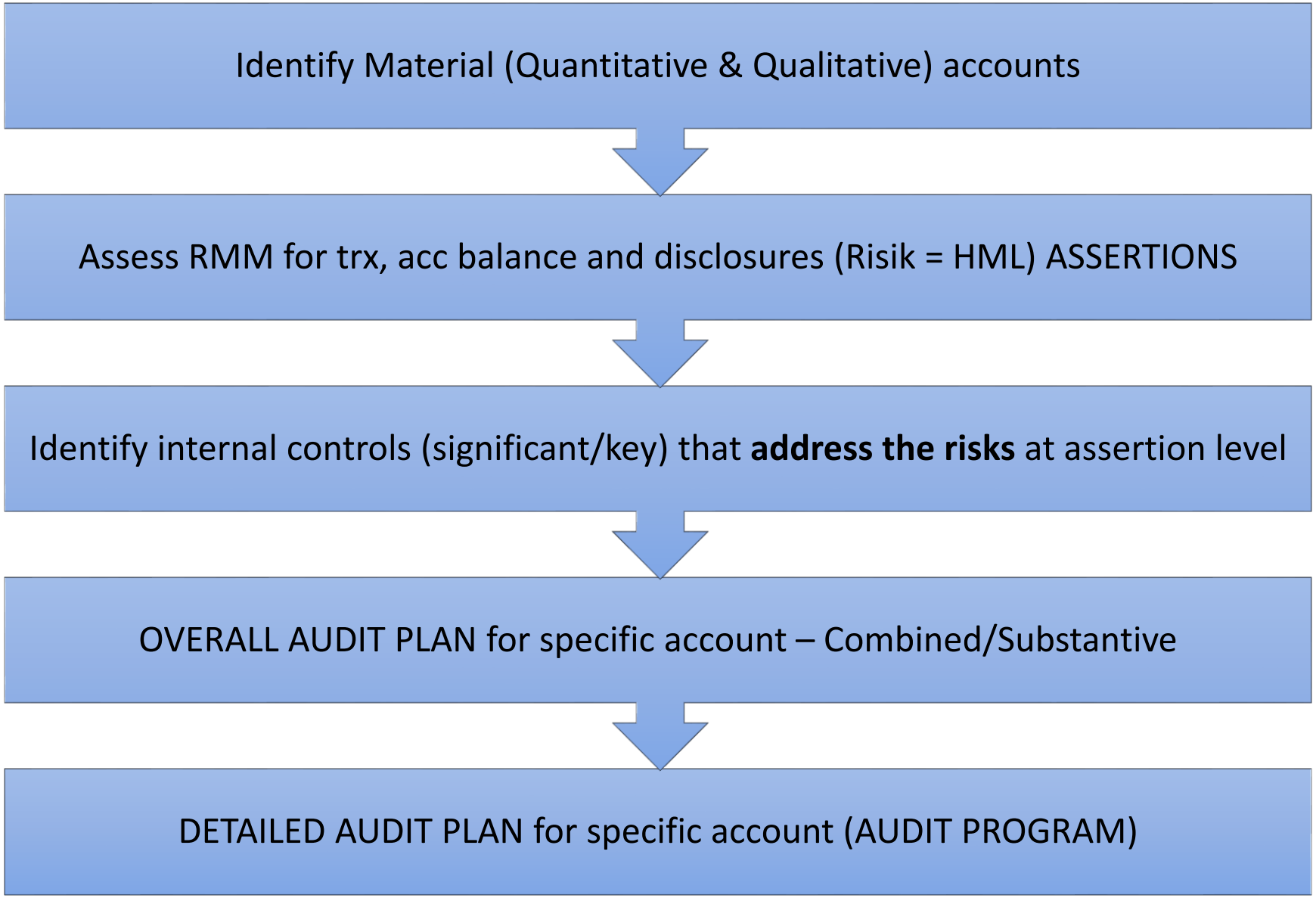
- Admin Planning (Part of Audit Strategy and Audit Plan)



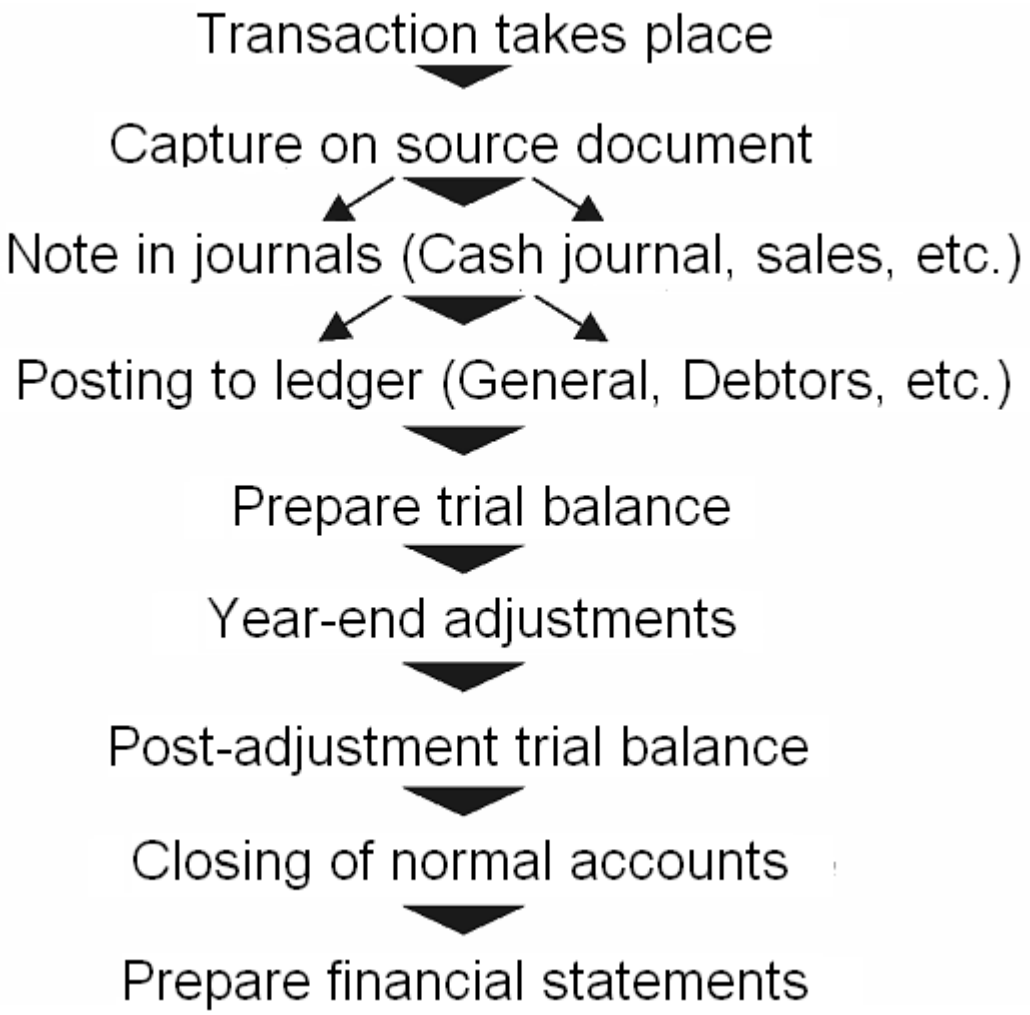
Steps – A Framework.



Detail Planning

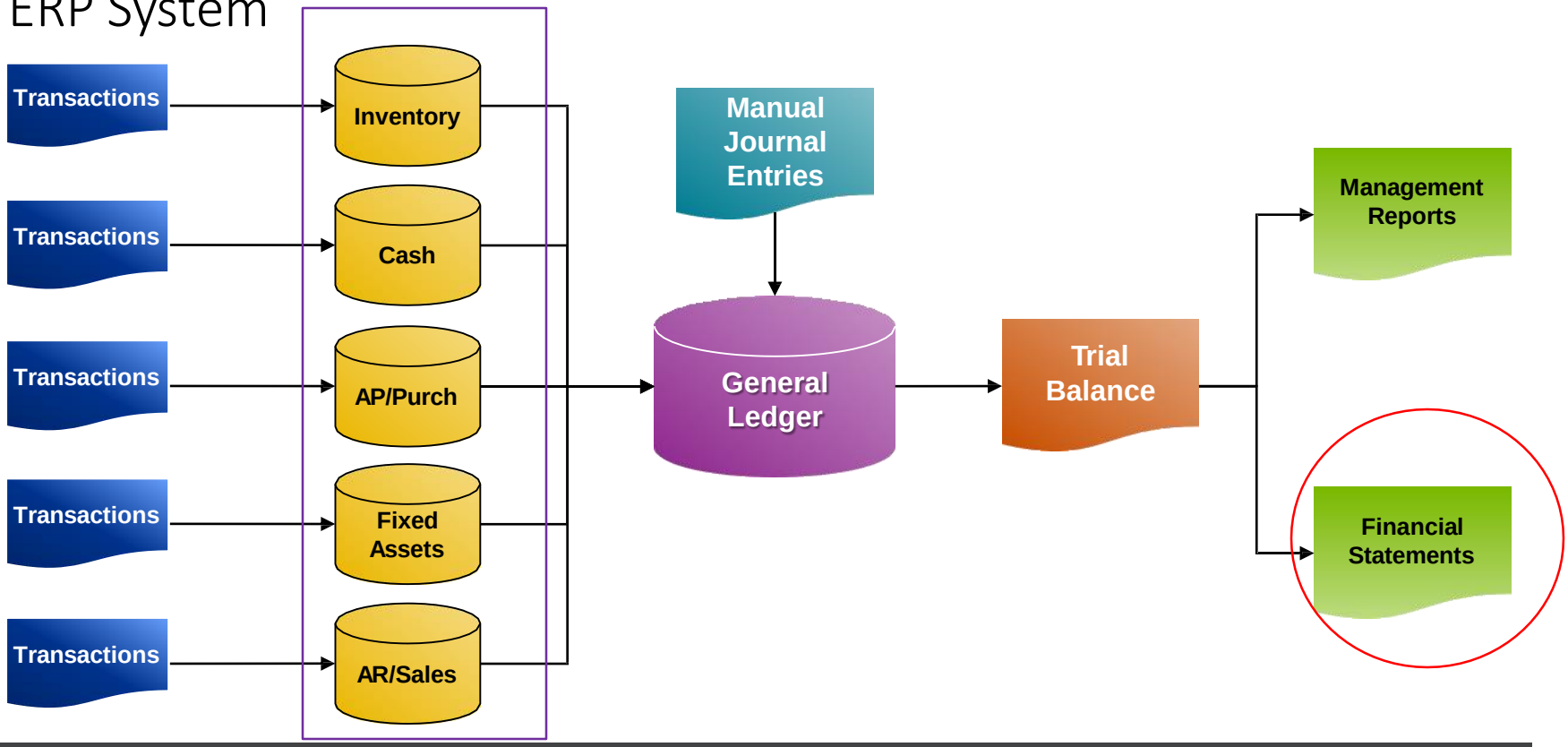


HOW IS TRANSACTION CAPTURED?



Management wants to ensure that when these transactions are accurate, complete and are authorised and valid (objectives) …..therefore control activities are put into place to address the business risks. CONTROL OBJECTIVES

Flow of Transactions in an Accounting ERP System



ISA 300

- ## Role and Timing of planning (ISA 300.2):
  - Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan

- ## Benefits of audit planning (ISA 300.2):
  - Appropriate **attention is devoted to important areas** of the audit;
  - **Potential problem areas** are identified and timeously resolved;
  - The audit is **organised and managed in an effective** manner;
  - Engagement team **members with the appropriate experience** and expertise are allocated to the audit;
  - **Work is properly delegated** to assistants and reviewed
  - Work performed **by other auditors and experts is properly co-ordinated**

- ## Objective of audit planning (ISA 300.4):
  - The objective of the auditor is **to plan the audit so that it will be performed in an effective manner**

- ## Results of audit planning (ISA 300.7-9):
  - Overall audit strategy for the audit as a whole;
  - Audit plan for classes of transactions/account balances (audit cycles).

ISA 300

Requirements

Persons responsible for planning the audit

- Engagement partner and other key members
- Plan the audit with an attitude of professional scepticism

The involvement of these members draws on their experience and insight, enhancing the effectiveness and efficiency of the planning process (ISA 300.A4)

Keep in mind that planning can influence any of the stages illustrated below and should be revisited and adjusted based on:

- New information
- Awareness of additional risks
- Change in circumstances
- Change in operations or legislation

ISA 300

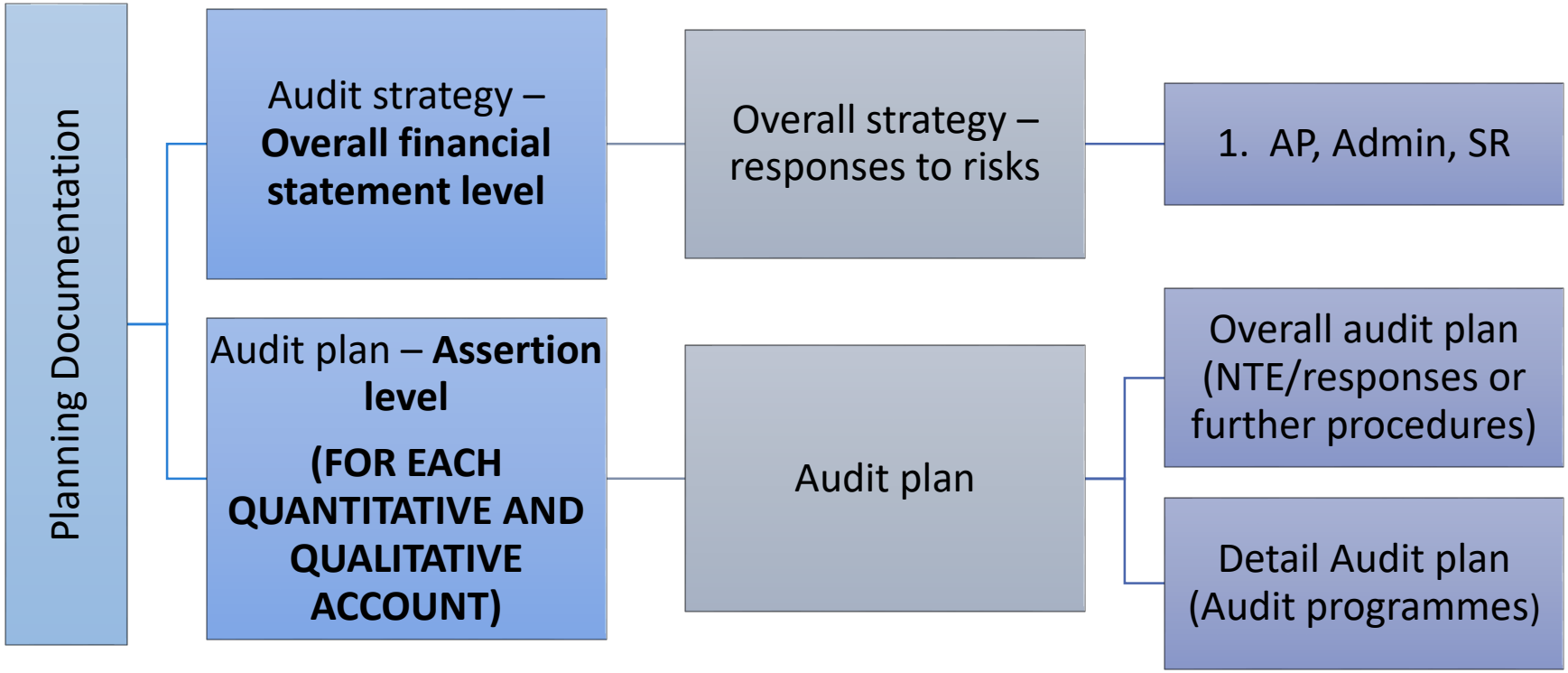
- ISA 300.7
  - The auditor shall establish an overall audit strategy that
    - Sets the scope, timing and direction of the audit;
    - Guides the development of the audit plan
- ISA 300.8
  - In establishing the overall audit strategy, the auditor shall:
    - Identify the characteristics of the engagement that define its scope;
    - Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;
    - Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;
    - Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and
    - Ascertain the nature, timing and extent of resources necessary to perform the engagement. (Ref: Para. A8–A11)

ISA 300

- ISA 300.9
  - The auditor shall develop an audit plan that shall include a description of:
    - The nature, timing and extent of planned risk assessment procedures, as determined under ISA 315.[4]
    - The nature, timing and extent of planned further audit procedures at the assertion level, as determined under ISA 330.[5]
    - Other planned audit procedures that are required to be carried out so that the engagement complies with ISAs. (Ref: Para. A12)
- ISA 300.10
  - The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit.
- ISA 300.11
  - The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work.

The end Result

AP = Audit Approach
SR = Specific Responses



ISA 315

Identifying and assessing *the risk of material misstatement through understanding the entity and its environment*



ISA 315

- What is the purpose of ISA 315
  - The auditor has to identify AND assess the Risks of Material Misstatement (ROMM), whether due to fraud or error.
  - The auditor must thus perform a risk assessment to identify risks and assess if the risks are
    - **Significant** (audit procedures have to be performed due the NATURE of the risk);
    - Determine if the Risks could lead to a **ROMM**.
- **How** does the auditor do this?



ISA 315 RAP (with the Vowels)

- Enquiries of Management and Others
  - Board of directors, Internal audit personnel, Employees, In house legal counsel, Other personnel
- Preliminary Analytical Procedures
  - Evaluations of financial information through analysis of plausible relationships (ISA520)
  - To understand the clients business and transactions
  - To identify financial statement accounts that are likely to contain errors (Focuses efforts)
- Observation
  - Observation of entity's activities and operations
- Inspection
  - Inspection of documentation
  - Inspection of assets



AEIO / WINA

Perform Risk Assessment Procedures

AEIO (WINA)



Nature of the entity and its environment (ISA315.11)

Industry, Regulatory, & External factors	Nature of the entity	Accounting Policies	Objectives, strategies & Business Risks	Measurement and review financial performance

Understanding of the Internal control (relevant to the audit) (ISA315.14-24)

DESIGN AND IMPLEMENTATION – D&I (ISA315.13)



Control Environment	Entity's Risk Assesment Process	Information Systems & Communications	Control Activities	Monitoring of Controls (Internal Audit)

RMM

EXPLAINING



- Less Persuasive Evidence, Smaller Samples, Test at Interim Date
- Analytical Review of Accounts

- More Persuasive Evidence, Larger Sample Sizes, Test as of Year End, etc.

BEFORE WE MOVE ON

The Environment in which **all trx** is accounted

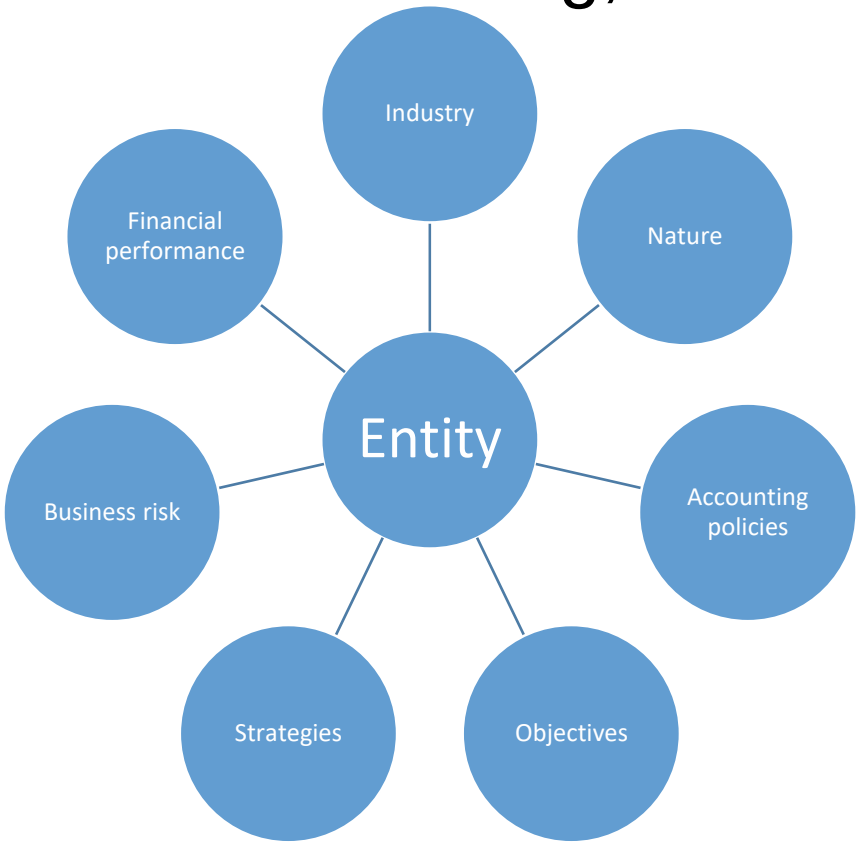
- OVERALL INHERENT RISK
- OVERALL CONTROL RISK
  KING 4,
- OVERALL RMM
  AUDIT STRATEGY

Accounting for Transactions ("Actually Hitting the AFS") – Can Link it to a Assertion/Line item

- Assertion Level – INHERENT RISK
- Assertion Level – CONTROL RISK
  CONTROL ACTIVITIES
- RMM AT TRX LEVEL
  AUDIT APPROACH / SUBSTANTIVE PROC / CONTROL PROC

Step 1 – Understanding of the entity and its environment (ISA315.11 (A25-49))

- Goal is to identify business risks that leads to inherent risk!
- Inherent risk is the related to something, because of what it is.



Step 2 – Understanding of the entity Internal Control ISA 315.12-24 (A49-117) – WE ARE LOOKING FOR WEAKNESSES/KEY

- If the Controls is WEAK = HIGH CONTROL RISK
- The goal is to identify risks that lead to a higher or lower Control risk!
- Internal Control is the process designed, implemented and maintained to address identified B-risks that threaten the achievement of any of the entity's objectives that concern:
  - Reliability of financial reporting
  - Effectiveness and efficiency of operations
  - Compliance with Laws & Regulations
- Control Risk is the risk that the controls that have been designed and implemented are NOT functioning effectively and doesn't:
  - Prevent
  - Detect
  - Correct

  the fraud or the error

EXPLAINING THE COMPONENTS

OVERALL (ENTITY LEVEL)

INHERENT

CONTROL RISK
Control Environment
Risk Assessment Process
IS and Communication
Monitoring

ASSERTION (EACH LINE ITEM)

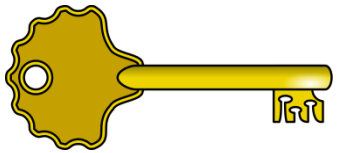
INHERENT

CONTROL RISK
Control Activities
Risk Assessment Process
IS and Communication
Monitoring

CONTROLS RELEVANT TO THE AUDIT – NB!

- Controls relevant to the audit (ISA 315.20-21, A67-72)
  - The auditor shall consider the following factors to determine whether a control individually or in combination with other controls are relevant to the audit:
    - Materiality
    - Significance of the related risks
    - Size of the entity
    - Nature of the entity's business including its organization and ownership characteristics
    - Circumstances and the applicable component of internal controls
    - Nature and complexity of the systems that are part of the entity's internal control
    - Whether and how, a specific control, individually or in combination with others, prevents, or detects and corrects, material misstatements







Not all controls are relevant to the auditors, thus the auditor has to:

- Evaluate the design and determine whether the control is capable of preventing, detecting and correcting material misstatements
- Determine whether the control has been implemented and used by the entity
- D&I are concluded on.

ISA 315 – CONTROL ENVIRONMENT

- **Components of Control Environment (ISA 315.14, A76-77)**
  - Communication and enforcement of integrity and ethical values
  - Commitment to competence
  - Participation by those charged with Corporate governance (Link to KING IV)
  - Management's philosophy and operating style
  - Organizational structure
  - Assignment of authority and responsibility
  - Human resource policies and practices

Auditor must obtain knowledge of the control environment to evaluate if:

- Management created a culture of honesty en ethical behavior, and whether it is controlled by the board of directors
- The control environment provides a proper basis for the reliance on other components of the control system

ISA 315 – RISK MANAGEMENT PROC

- The Entity's RAP (ISA315.15, A87-88)
  - **The auditor must obtain knowledge of the entity's processes for:**
    - How management identifies business risks relevant to financial reporting objectives
    - Estimates the **significance** of the risks,
    - Assesses the likelihood of their occurrence
    - Decides upon actions to manage them

But HOW?

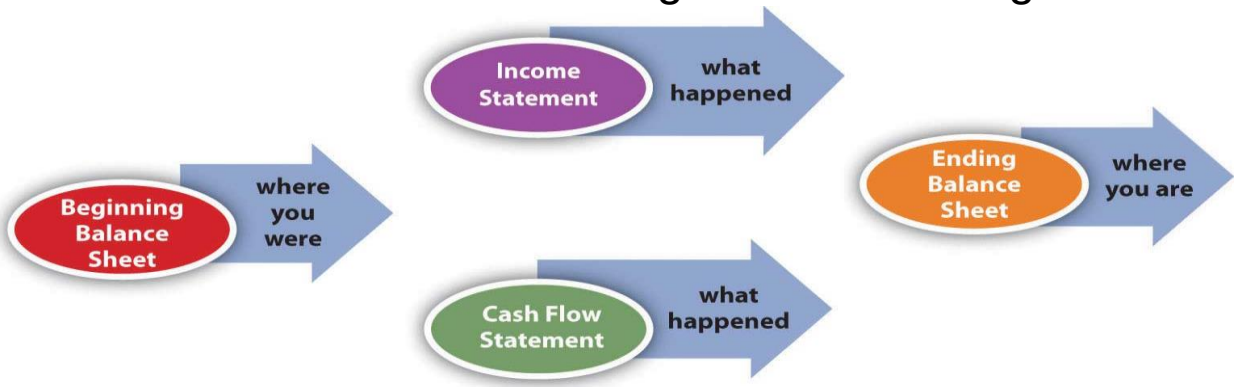


- Enquiry and inspection of documentation,
- Minutes of Meetings…But which meetings?

Link with King IV
Risk Committee and Audit Committee meetings
Internal Auditors?

ISA 315 (Information systems)

- **Information system** relevant to financial reporting (ISA 315.18-19, A89-94)
- Auditor should obtain an understanding of the information system, incl. business processes, relevant to financial reporting:
  - Classes of transactions significant to the financial statements
  - Procedures by which those transactions are initiated, recorded, processed and reported in the financial statements
  - Related accounting records that supports account balances in the F/S
  - How system captures events and conditions, other than classes of transactions, that are significant to the financial statements – Journals
  - The financial reporting process used by the entity to set up the F/S & disclosures of the entity
  - Controls surrounding journal entries, including non-standard journals used for the recording of non-recurring and unusual transactions





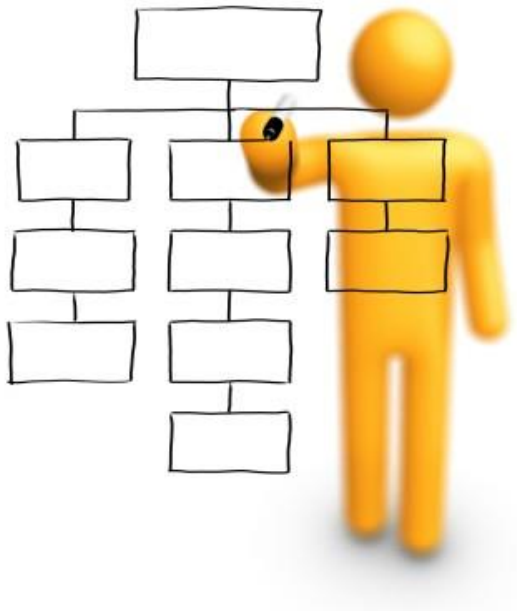
ISA 315

- Inspection of flowcharts of the system
- Observation of the system
- Enquiry of client staff
- Discussions with prior year audit staff
- Discussions with Internal Audit Department
- Tracing information through information system



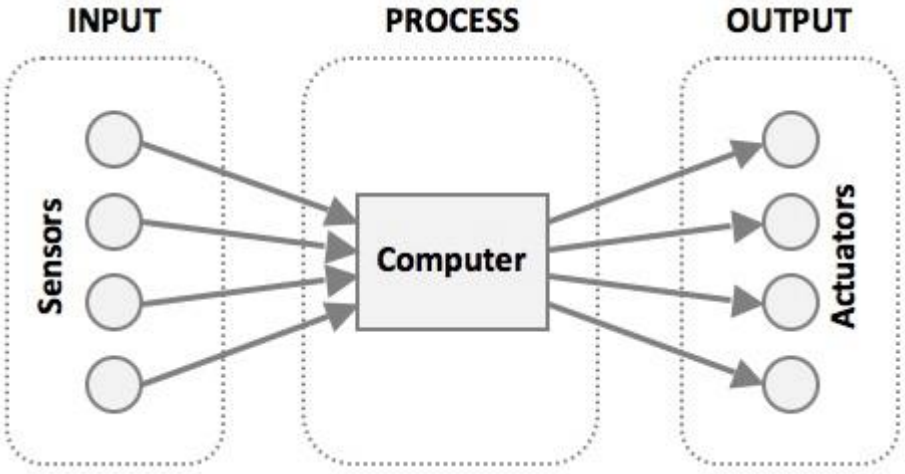


ISA 315 – Control Activities (Manual and IT Systems)



- Authorisation
- Reviews
- Physical Controls
- Segregation of Duties

- General Controls
- Application Controls
  - Manual
  - Automated



ISA 315 - MONITORING

- Monitoring of Controls (ISA 315.22-24, A106-108)



The control environment in itself does not prevent or detect and correct, a material misstatement – It may however influence the auditors' evaluation of the effectiveness of other controls (A83)

But what is the purpose of it all???

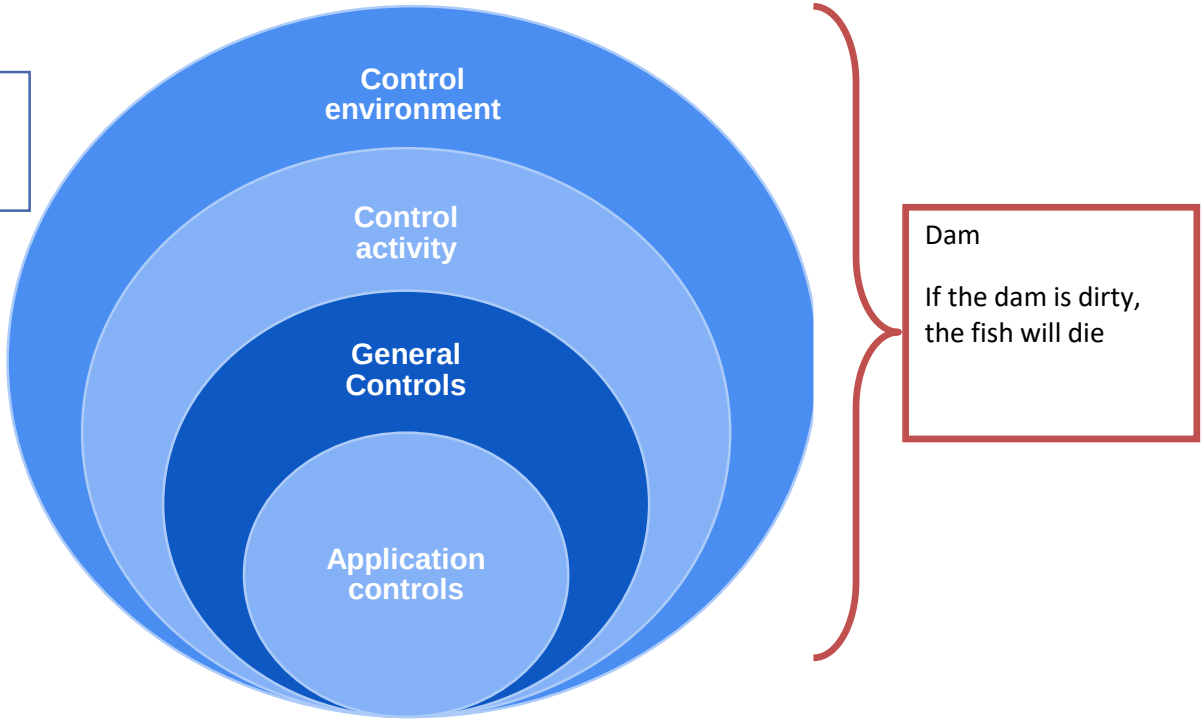


ISA 315 – IT ENVIRONMENT

- Goal of understanding is also to determine if you can trust on the control environment

Fish in the damn approach

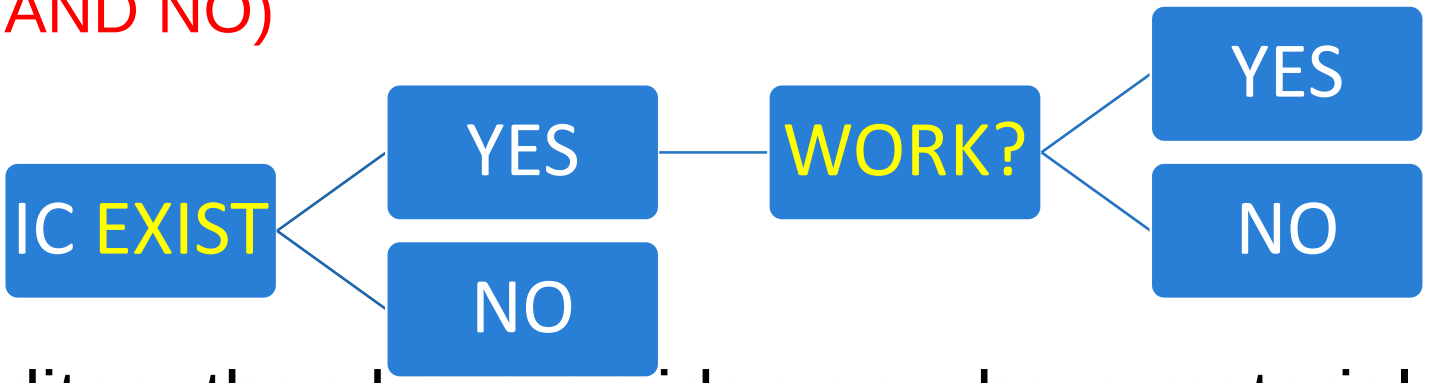




- If the overall controls are not functioning, then the **application controls** will not function
- Provides the framework for all computerised activities
- Transactions are processed within this framework (environment)

ISA 315

- So it is important for the auditor to understand the internal control environment to:
  - Determine what controls exist (YES!!!)
  - Determine where controls do not exist (NO!!!)
  - The control exist, but the controls are not working (YES AND NO)



- Auditors then have an idea on where material misstatements could take place and as such, they can know where to look and that makes the audit more efficient.

What happens if you uncover deficiencies

- ISA 265
  - You have to report the deficiencies, **in writing** to management of the company
  - In your report you should state **how significant** the deficiencies in the internal control is
- The auditor should also determine if the weaknesses in internal control, together or individually, are significant



ISA 265, A6 should be flagged as it has examples of significant deficiencies

Easy marks if weaknesses are requested during tests

How is this tested

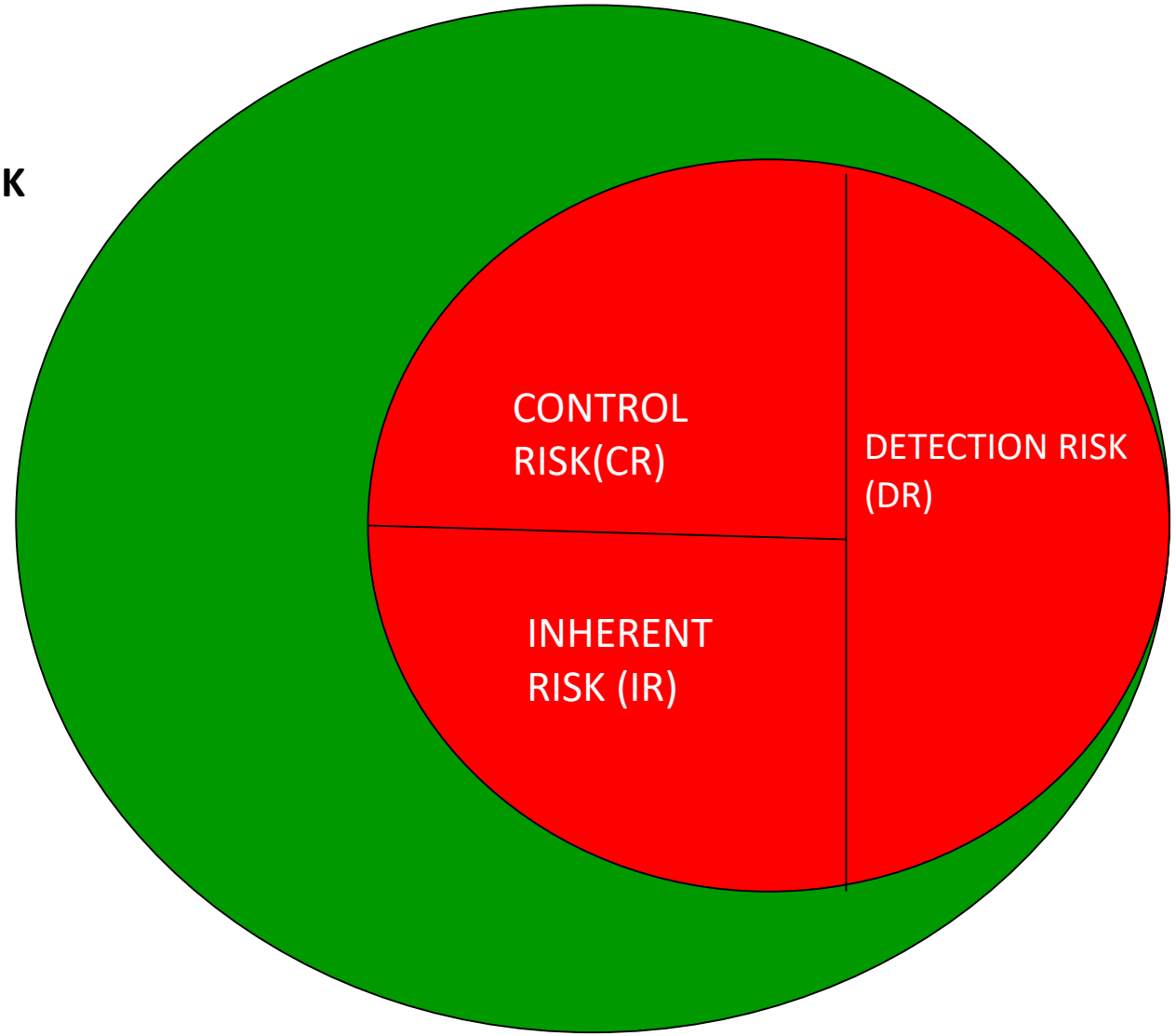
- Information will be given in a scenario and you will have to identify and/or asses the Risk of Material misstatement, at either financial statement or assertion level
- You can be required to identify and discuss control risk or inherent risk

BUSINESS RISKS

- Exposure to Losses?
- Normal Audit risks also (Only Focusses on the AFS)
- But include Risk exposure due to:
  - Physical and operational issues
  - Human Resources
  - Technology
  - Disasters
  - Credit Risk
  - Market Risk
  - Compliance Risk
  - Environmental Issues (PESTAL as guide)
  - Quality
  - Customers
  - Suppliers etc…..RECP674

BUSINESS RISKS

BUSINESS RISK



AUDIT RISK (AR) – LINK TO FJS

ROM = CR + IR

BASIC PRINCIPLES AND CONCEPTS USED

- DEFINITIONS
- ISA200 par13(c)
  - **Auditrisk** = The risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risk of material misstatement and detection risk.
- ISA200 par13(e)
  - **Detection risk** = The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.
- ISA200 par13(i)
  - **Misstatement** – A difference between the amount, classification, presentation, or disclosure of reported financial statement item and the amount, classification, presentation, or disclosure that is REQUIRED for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from
    - ERROR
    - FRAUD

BASIC PRINCIPLES AND CONCEPTS USED

- ISA200 par 13(n)
  - **Risk of Material misstatement** = The risk that the financial statements are materially misstatement prior to the audit. This consist of two components, described as follows at the assertion level:
    - **Inherent Risk** = The susceptibility of an assertion about a class of transaction, Account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls
    - **Control Risk** = The risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

- Subsequently:

- AR = RMM (IR x+ CR) x+ DR

BASIC PRINCIPLES AND CONCEPTS USED

- ISA200 par A34
- **Risk of Material Misstatement**
  - A34 - The risk of material misstatement (IR + CR) may exist at **two levels**:
    - The **overall** financial statement level; and
    - The **assertion** level for classes of transactions, account balances, and disclosures.
  - A35 – Risks of material misstatement at the **overall** financial statement level refer to risks of material misstatement that relate pervasively (omvattend) tot the financial statements as a whole and potentially affect **MANY assertions.**
  - A36 – Risk of material misstatement at the **assertion level** are assessed in order to determine the nature, timing and extent of FURTHER audit procedures necessary to obtain sufficient appropriate audit evidence.
  - A37 – The RMM at the assertion level consists of two components: **INHERENT RISK and CONTROL risk**. Inherent Risk and Control Risk are the ENTITY's RISK; the exist independentdently of the audit of the financial statements.
  - A38 – A40 – Read
  - A41 – ISA315 establishes requirements and provides guidance on IDENTIFYING and ASSESSING the RMM at the financial statement level and the assertion level.

BASIC PRINCIPLES AND CONCEPTS USED

- ISA200 par A42-44
- **DETECTION RISK**
  - A42 – For a given level of audit risk, the acceptable level of detection risk bears an **inverse relationship** to the assessed RMM at the assertion level.
  - The greater the RMM the auditor believes exists, the LESS the detection risk that can be ACCEPTED and, accordingly, the more persuasive the audit required by the auditor.
  - DR relates to the nature, timing and extent of the AUDITORS procedures that are determined by the auditor to reduce audit risk to an acceptable low level. It is therefore a function of the EFFECTIVENESS of an audit procedure and of its application by the auditor.
    - Adequate planning
    - Proper assignment of personnel to the engagement team
    - The application of professional skepticism
    - Supervision and review of the audit work performed.

Conditions and Events that may indicate Risks of Material Misstatements:

- Operations exposed to volatile markets, for example, futures trading.
- Going concern and liquidity issues including loss of significant customers.
- Constraints on the availability of capital and credit.
- Changes in the industry in which the entity operates.
- Developing or offering new products or services, or moving into new lines of business.
- Expanding into new locations.
- Changes in the entity such as large acquisitions or reorganizations or other unusual events.
- Entities or business segments likely to be sold.
- The existence of complex alliances and joint ventures.
- Use of off-balance-sheet finance, special-purpose entities, and other complex financing arrangements.
- Significant transactions with related parties.
- Lack of personnel with appropriate accounting and financial reporting skills.
- Changes in key personnel including departure of key executives.
- Deficiencies in internal control, especially those not addressed by management.
- Inconsistencies between the entity's IT strategy and its business strategies.
- Changes in the IT environment.
- Installation of significant new IT systems related to financial reporting.
- Past misstatements, history of errors or a significant amount of adjustments at period end.
- Significant amount of non-routine or non-systematic transactions including intercompany transactions and large revenue transactions at period end.
- Application of new accounting pronouncements.
- Accounting measurements that involve complex processes.
- Events or transactions that involve significant measurement uncertainty, including accounting estimates.

WHAT DOES ISA315 AND ISA330 REQUIRE?

Understanding of the Entity and Its Environment – RAP – WINA

Understanding the Entity's Internal Control – RAP - WINA

Identification of Risk factors – RISK INDICATORS

WHAT DOES ISA315 AND ISA330 REQUIRE?

Assessing the Risk of Material Misstatement (RMM) – FINANCIAL STATEMENTS

Assessing the Risk of Material Misstatement (RMM) – ASSERTION LEVEL

ASSES – LIKELIHOOD (% CHANCE) AND MAGNITUDE (RAND)

WHAT DOES ISA315 AND ISA330 REQUIRE?

RESPOND TO the Risk of Material Misstatement (RMM) – FINANCIAL STATEMENTS

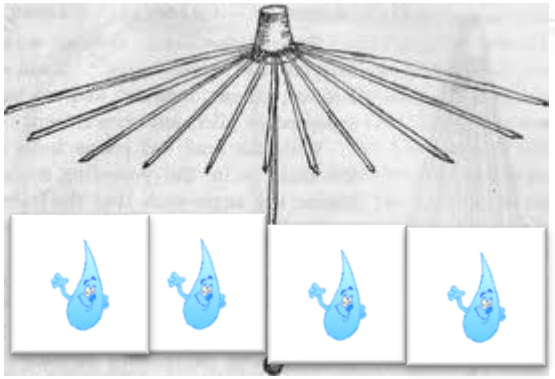
RESPOND TO the Risk of Material Misstatement (RMM) – ASSERTION LEVEL

OVERALL

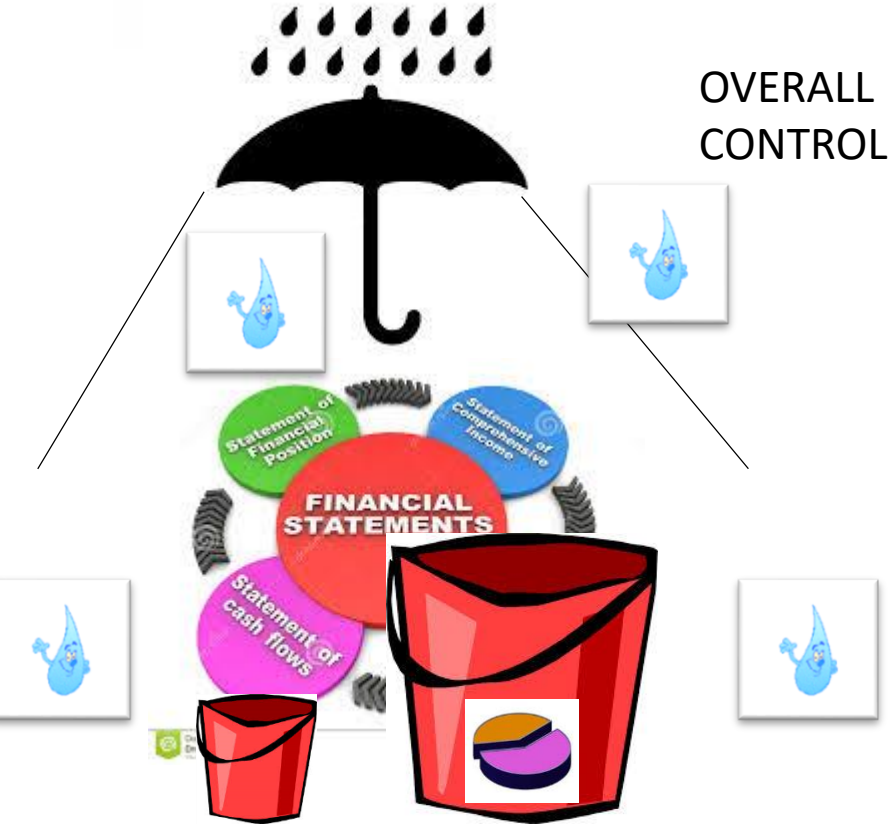


OVERALL INHERENT RISK





OVERALL CONTROL RISK





RMM FRAMEWORK (HEADINGS) OVERALL LEVEL – Due to these we cannot say for certain were the Misstatements are going to be (In which account)

1. Discussion on FRAUD – Where is the Opportunity, Rationalization & Incentive to Commit **Fraud** in the Company. Management Override controls.
2. Discussion on **ERROR** – Where is the chance that errors will occur higher than in other place (knowledge in the accounting department? / WEAKNESSES in CONTROL / Complex IFRS standards / Under pressure in the Accounting department)
3. Non-Compliance with **Laws** (Companies Act and all other Legislation)
4. **Going concern** indicators = Fraud also
5. Management Integrity / **Corporate Governance** (KING III) Issues – If a JSE listed company and refer to Companies Act.
6. **IT issues**
7. STUDY MY RMM TABLE FOR RISK – RISK FACTOR(INDICATOR) IS NOT THE RMM

HOMEWORK/ Roomwork